

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

\$33.61

\$7.46B mkt cap · 222M sh · \$232M cash, \$1.29B net debt · BB- credit

THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual \$400M/year sale-leasebacks?

LTH trades at \$33.61 (\$7.5B mkt cap) on TTM revenue \$3.0B and Adj EBITDA \$824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF \$206M required \$400M of sale-leaseback proceeds offsetting \$870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Three scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$22.26
expected fair value today
-33.8% vs spot \$33.61

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$33.42	\$50.23	\$75.62	\$114.00
0.99x spot	1.49x spot	2.25x spot	3.39x spot

WEIGHTING RATIONALE

Bear 20% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.

Base 55% Modal outcome: LTH executes guidance, leverage stays in target.

Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.

Ultra Bull 5% 250+ clubs by 2030 + ARPU \$6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute \$14.01 — 63% of the \$22.26 expected value despite 25% combined probability. Today's spot (\$33.61) sits 51% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



BEAR	\$0.00	BASE	\$15.00	BULL	\$46.04	ULTRA BULL	\$96.13
	-100.0% vs spot		-55.4% vs spot		+37.0% vs spot		+186.0% vs spot
CAGR +5.1% WACC 11.0% SLB \$0.9B Prob 20%		CAGR +7.8% WACC 9.5% SLB \$1.7B Prob 55%		CAGR +9.8% WACC 8.0% SLB \$2.0B Prob 20%		CAGR +12.0% WACC 7.5% SLB \$3.0B Prob 5%	
Capital recycling, not earnings.		Premium platform, leveraged structure.		Luxury wellness platform compounds.		Luxury category-of-one; 15x re-rate.	



Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Bear 20% Base 55% Bull 20% Ultra Bull 5% · Weighted expected \$22.26 (-33.8% vs spot)

BEAR	\$0.00	BASE	\$15.00	BULL	\$46.04	ULTRA BULL	\$96.13
	-100.0% vs spot		-55.4% vs spot		+37.0% vs spot		+186.0% vs spot

Probability 20%

Capital recycling, not earnings.

WHY 20%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~\$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~\$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near \$4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to \$20-25. The 20% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics (\$25-35M revenue vs \$15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after \$400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF \$870M minus capex ~\$870M equals zero before SLB. The reported \$206M FY25 FCF is essentially \$400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At \$40M average per club, that's roughly \$2B of remaining real estate runway. At the planned \$400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~\$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from \$3,531 toward \$4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating \$25-35M annual revenue at maturity vs \$15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at \$300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (15x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from \$1,050 toward \$1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU \$6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from \$4,500 to \$6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to \$1.5B+ by 2030.

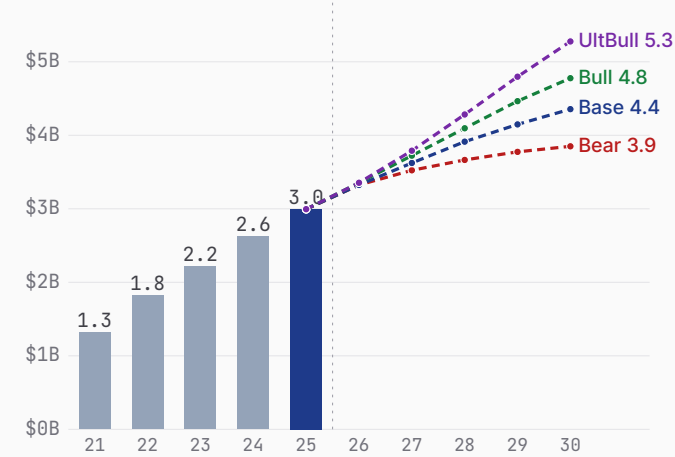
Multiple expands from 9x EV/EBITDA (current) to 15x as growth story consolidates and capital structure de-risks. Result: \$22.5B EV - \$1.3B net debt = \$21.2B equity ÷ 235M FY30 shares = \$90/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

Life Time Group Holdings business snapshot

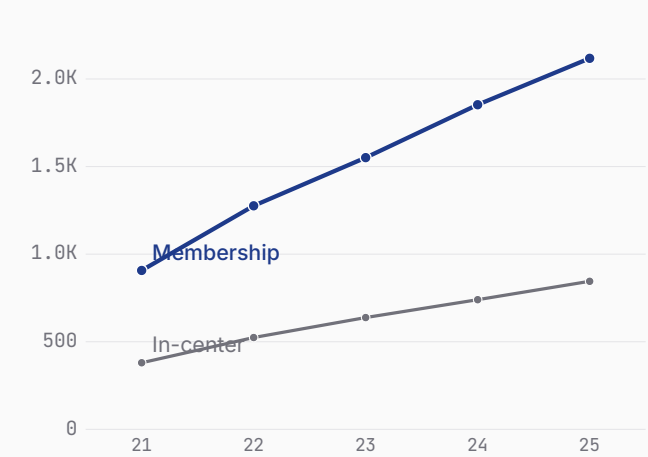
Bear \$0.00 Base \$15.00 Bull \$46.04

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

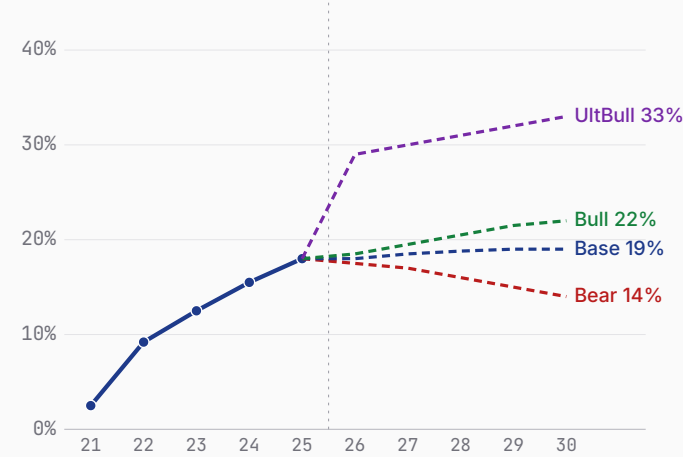
Revenue (\$B) — history + scenarios to FY30



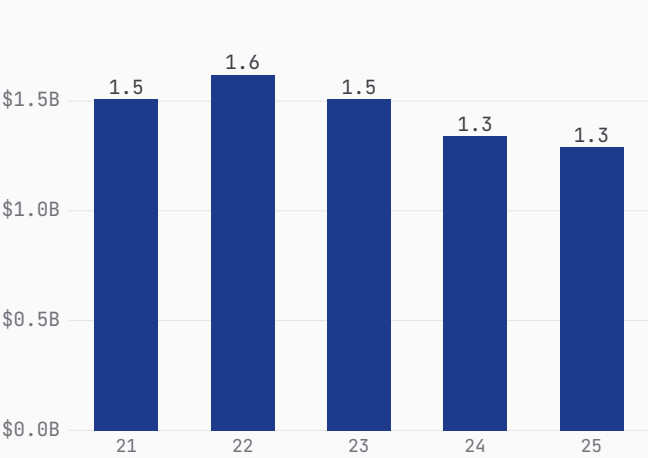
Revenue by segment (\$M)



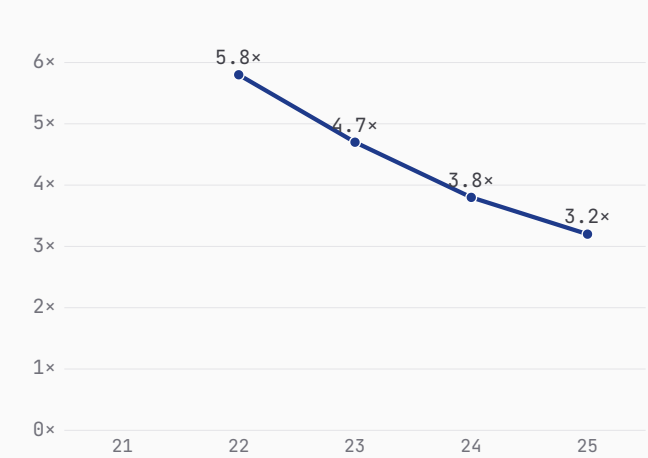
Op margin — history + scenarios



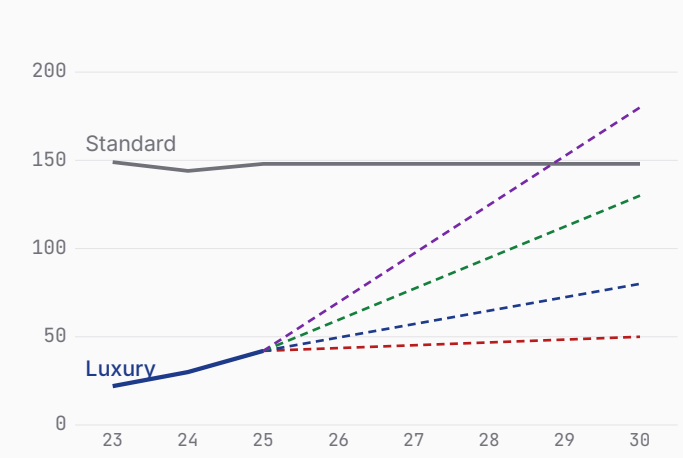
Net financial debt (\$B) — history



EV / Revenue — historical



Club count — Luxury vs Standard



Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates.

Life Time Group Holdings

show your work

Bear \$0.00 Base \$15.00 Bull \$46.04 · Weighted \$22.26 (-33.8%)

BEAR\$0.00					BASE\$15.00					BULL\$46.04					ULTRA BULL\$96.13				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					5y revenue CAGR (%)					5y revenue CAGR (%)					5y revenue CAGR (%)				
Year-5 op margin (%)					Year-5 op margin (%)					Year-5 op margin (%)					Year-5 op margin (%)				
WACC (%)					WACC (%)					WACC (%)					WACC (%)				
Terminal growth (%)					Terminal growth (%)					Terminal growth (%)					Terminal growth (%)				
5y SLB total (\$B)					5y SLB total (\$B)					5y SLB total (\$B)					5y SLB total (\$B)				
Starting revenue (\$B)					Starting revenue (\$B)					Starting revenue (\$B)					Starting revenue (\$B)				
Scenario probability (%)					Scenario probability (%)					Scenario probability (%)					Scenario probability (%)				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.13	+0.12	FY26	3.32	+18%	+0.23	+0.21	FY26	3.35	+19%	+0.30	+0.28	FY26	3.36	+29%	+0.35	+0.33
FY27	3.52	+17%	+0.18	+0.14	FY27	3.62	+19%	+0.29	+0.24	FY27	3.72	+20%	+0.41	+0.35	FY27	3.80	+30%	+0.50	+0.43
FY28	3.66	+16%	+0.15	+0.11	FY28	3.91	+19%	+0.31	+0.24	FY28	4.10	+21%	+0.49	+0.39	FY28	4.29	+31%	+0.70	+0.56
FY29	3.77	+15%	+0.11	+0.07	FY29	4.15	+19%	+0.33	+0.23	FY29	4.46	+22%	+0.58	+0.43	FY29	4.81	+32%	+0.90	+0.67
FY30	3.85	+14%	+0.08	+0.05	FY30	4.36	+19%	+0.35	+0.22	FY30	4.78	+22%	+0.67	+0.46	FY30	5.29	+33%	+1.10	+0.76
Σ PV explicit FCF					Σ PV explicit FCF					Σ PV explicit FCF					Σ PV explicit FCF				
+ PV terminal (g 1.5%)					+ PV terminal (g 2.5%)					+ PV terminal (g 3.0%)					+ PV terminal (g 3.5%)				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					Operating EV					Operating EV					Operating EV				
+ Cash & investments					+ Cash & investments					+ Cash & investments					+ Cash & investments				
– Net debt					– Net debt					– Net debt					– Net debt				
= Equity value					= Equity value					= Equity value					= Equity value				
FY30 shares (M)					FY30 shares (M)					FY30 shares (M)					FY30 shares (M)				
= Expected per share					= Expected per share					= Expected per share					= Expected per share				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$0.00	\$0.00	\$0.00	\$0.00		\$23.61	\$37.17	\$58.52	\$92.12		\$67.65	\$99.40	\$146.05	\$214.59		\$138.01	\$198.13	\$284.44	\$408.35	
0.00×	0.00×	0.00×	0.00×		0.70×	1.11×	1.74×	2.74×		2.01×	2.96×	4.35×	6.38×		4.11×	5.89×	8.46×	12.15×	



Life Time Group Holdings supporting analysis · disclaimers · glossary

Bear \$0.00 Base \$15.00 Bull \$46.04

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Track record is strong.**
FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.
- 2 **New club economics shift mix.**
1.2M sq ft of 2026 luxury openings generate \$25-35M revenue vs \$15-20M legacy. Unit economics improving, not deteriorating.
- 3 **Category-of-one positioning.**
No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.
- 4 **In-center monetization compounds.**
Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from \$1,050 toward \$1,400-1,500. High-margin, recurring.
- 5 **SLB flywheel sustains.**
New clubs become future SLB inventory in 5-7 years. Cadence of \$400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation FY27 revenue growth < 5% · SLB cadence < \$300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-	Bull validation FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > \$1,250 · P/E multiple expands above 18x	Reframe needed If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it	Athletic Country Club — LTH's positioning — luxury multi-discipline format	Dynamic PT — Personalized training program. Highest-margin in-center
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